

Organization, Rotation, and Performance Management

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Note

Under FPAS Mark II, good monetary policy depends not only on analytical tools and scenario design but also on how people learn, develop, how are they organized, and how performance is cultivated. A modern forecasting and policy system must be supported by an organizational structure that uses scarce human capital efficiently, distributes workload fairly, and creates continuous opportunities for learning and development. In this sense, FPAS Mark II treats organization and performance management as essential components of the prudent risk-management framework.

1. Organizational Structure: Roles and Responsibilities

The structure surrounding the policy round is deliberately designed to ensure both clarity of responsibility and collaboration across teams.

The **The Chief Economist** oversees the organization of the policy round, manages internal communication, structures the rotation of staff across teams, and ensures that the analytical, operational, and communication components of the round are executed smoothly and coherently. The **Director of Operations** oversees the execution of the policy cycle, aligning analytical work with institutional timelines and coordinating resources across teams. **Group Managers** supervise the development of staff, guide analytical priorities, and ensure that the work produced meets the standards of the FPAS Mark II framework.

At the core of each 29-day cycle are the **Projection Round Teams**, composed of two of the four MPD teams. One team takes the lead in running the projections, preparing scenarios, and supporting Board deliberations. The second team provides tactical

support—data work, cross-checks, and targeted analysis—to allow the lead team to concentrate on scenario construction and policy-relevant storytelling.

Within the lead team, the **Production Coordinator** (chosen on a rotating basis) acts as the round’s analytical anchor. The Coordinator guides daily work, sets priorities, runs production meetings, and is responsible for the narrative and technical quality of the scenarios that will eventually appear in the Monetary Policy Report.

During the early stages of each round, two senior staff from the lead team serve as **Board Coordinators**. Their task is to help Board members translate their concerns and risks into Initial Macroeconomic Risk Assessments—the one-page narratives that form the backbone of the Taxonomy of Scenarios. Coordinators meet individually with Board members, help structure ideas, ensure alignment with the 3R principle, and prepare drafts in both Armenian and English.

This organizational structure ensures a tight partnership between decision-makers and staff, reinforcing the principle that structured analysis and informed judgment must evolve together.

2. Rotation Across Roles and Teams

FPAS Mark II relies on rotation as a deliberate institutional mechanism. Rotation serves several purposes: it prevents bottlenecks, reduces concentration of expertise, spreads institutional knowledge, and accelerates the development of staff.

Each MPD team leads the policy round once per year, serves as a support team once per year, and devotes the remaining two quarters to research, model development, and analytical strengthening. This rhythm ensures that every economist cycles through periods of intense production, deep learning, and technical refinement.

Rotation also applies within teams. The role of Production Coordinator moves from one Team Lead to another each round, providing repeated opportunities to manage a full FPAS cycle and present directly to the Board. Likewise, the responsibility of Board Coordination rotates among Level 2 and Level 3 economists, giving them hands-on experience in translating Board concerns into policy-relevant narratives.

This rotation system is not only practical—it is cultural. It promotes shared ownership of the framework, avoids over-reliance on individual staff members, and strengthens the department’s capacity to withstand turnover. It also enhances motivation, collaboration, and morale: every team knows that their opportunity to lead, contribute, and grow is guaranteed and built into the structure of the year.

3. Performance Management and Development

Performance management under FPAS Mark II is tightly linked to the department's human-capital framework. Economists progress through the formal GFS levels—each defined by clear standards for analysis, scenario building, communication, research, and leadership. Advancement is tied to documented evidence, not impressions or tenure, ensuring transparency and fairness.

This structure transforms performance management into a continuous process rather than an annual event. Weekly analytical briefings, production-round presentations, scenario meetings, internal and external seminars all provide opportunities for real-time feedback. Economists receive guidance from managers, senior analysts, advisors, the Chief Economist, and peers, creating a workplace where feedback is not episodic but woven into daily practice. This culture is reinforced through the Dynamic Learning Environment, which values initiative, collaboration, constructive critique, and accountability.

Crucially, performance standards are aligned with the FPAS Mark II philosophy: economists are judged not only on their technical work, but on their ability to identify risks, articulate scenarios, communicate uncertainty clearly, and contribute to structured deliberation.

Literature & Further Reading

- Archer, D., Galstyan, M., & Laxton, D. (2022). *FPAS Mark II: Avoiding Dark Corners and Eliminating the Folly in Baselines and Local Approximations*. Central Bank of Armenia Working Paper 2022/03.
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- CBA Academy. 2025. *Onboarding Platform*. Central Bank of Armenia, December 2025.

Script

Hello everyone, I'm Susanna Grigoryan, an economist at the Central Bank of Armenia and a Level One student at the Global Forecasting School. Welcome back to the CBA Academy Learning Hub. In today's session, we'll look at how FPAS Mark II organizes people, rotates responsibilities, and manages performance inside the Monetary Policy Department.

Under FPAS Mark I, most of the focus was on the analytical tools themselves—models, forecasts, and the baseline. FPAS Mark II recognizes something more fundamental: even the best analytical framework cannot function without the right organizational structure behind it. Good monetary policy depends not only on models and scenarios, but also on how economists are organized, how they move through roles, and how their skills are developed over time. Human capital is the backbone of the entire system.

The structure of the policy round under FPAS Mark II reflects this philosophy. The Chief Economist plays a central coordinating role. They organize the workflow during each 29-day cycle, assign responsibilities across teams, direct internal communication, and ensure that all analytical and operational components come together in a coherent, timely way. Alongside the Chief Economist, the Director of Operations ensures that the cycle runs efficiently and that teams have the support they need at each stage.

Group Managers oversee the work of their teams, guide the development of staff, and help maintain the analytical standards of the framework. Together, this leadership structure ensures that every part of the policy round—analysis, scenario building, briefing preparation, and communication—is aligned with the framework's goals.

At the center of the FPAS Mark II process are the projection teams. Two of the four MPD teams participate in each policymaking round. One team leads the work, preparing scenarios, writing narratives, and carrying the main analytical responsibility. The second team provides tactical support—running checks, validating inputs, and producing additional analysis where needed. During the round, the Team Lead from the leading team serves as the Production Coordinator, guiding day-to-day work and steering the narrative and technical direction of the round.

In the early stages of the cycle, two experienced economists from the lead team take on the role of Board Coordinators. Their job is to work closely with Board members to translate their concerns and risks into the Initial Macroeconomic Risk Assessments—the

one-page narratives that form the basis of the scenario taxonomy. These coordinators help structure ideas, ensure consistency with the 3R principle, and provide analytical support throughout the drafting process.

A defining feature of FPAS Mark II policy round is rotation. Each MPD team leads one policy round each year, supports once per year, and dedicates the remaining two quarters to research, model development, and strengthening the analytical toolkit. Within teams, responsibilities also rotate—Production Coordinator roles, Board Coordination duties, and leadership of specific tasks are shared over time. This structure prevents dependency on a small group of individuals and promotes a culture of shared ownership, collaboration, and continuous learning.

Performance management under FPAS Mark II is closely tied to the Global Forecasting School certification system. Economists advance through formal levels based on documented evidence—policy notes, research papers, presentations, and scenario contributions—not on tenure. Evaluation is continuous. Weekly analytical briefings, seminar discussions, and regular interactions with senior economists create an environment where feedback is frequent and meaningful. This helps staff grow steadily and ensures that the department’s human capital remains strong and dynamic.

Together, organization, rotation, and performance management form a critical part of the Prudent Risk Management Approach to Price Stability. They ensure that the analytical system remains sustainable, that staff develop rapidly, and that the institution can deliver disciplined, structured monetary policy in an uncertain world.

Thank you for watching, and I would like to acknowledge **Douglas Laxton, Jared Laxton, Asya Kostanyan, and Sopio Mkervolidze** at the Global Forecasting School for their guidance and support in producing this video.

See you in the next session!